Weekly swing book — rules spec sheet

LIVE — weekly-swing-0094-rank-p2exit-disc (A-only + discipline, as shipped 2026-07-16) · generated for manual TradingView review · 2026-07-16

Read this first. Every rule below is transcribed from the engine as it runs today. The trades in the accompanying CSV were produced by exactly these rules and nothing else. If a chart looks wrong to you, one of these rules is the reason — the job is to find which. Rules that *sound* right but are not implemented are listed in §7 (already tested and killed), so please check there before proposing one.

1 · The book

Item	Value
Universe	NSE equities, point-in-time index membership (a name is only tradable on dates it was actually a member — no survivor look-ahead in the membership test)
Period	2017-01-01 to the data cutoff
Starting capital	Rs 10,00,000
Risk per trade	2.0% of sizing equity
Position cap	**20% of sizing equity per name** (max_notional_pct) — a guardrail against single-name blowup. Concentration is load-bearing (FINDING_more_slots), not a cost.
Costs	STT 0.1% per leg + an ADV-based impact/slippage model on every leg
Result of record	Sharpe **1.0549** · **184** trades (this CSV samples 184 of them after split-cleaning)

2 · Entry signal — weekly bars, all four must be true in the SAME week

Weeks are ISO weeks. **SMA44** = 44-week simple moving average of the weekly close. Everything is trailing-only (no future data).

#	Rule	Exactly
1	Trend is rising	SMA44[k] / SMA44[k–13] – 1 ≥ **0.03** (i.e. the 44w SMA is up at least 3% over 13 weeks). This is a low bar — a barely-rising line passes.
2	Green candle, closing strong	close > open **AND** (close – low) ≥ 0.50 × (high – low), i.e. the close is in the **upper half** of the week's range.
3	Touch of the 44w SMA	low ≤ SMA44 × **1.07** (the week dipped to within 7% above the line) **AND** close > SMA44 (it closed back above it).
4	Relative strength	RS > SMA40(RS), where RS = weekly close ÷ Nifty-50 close. The stock is outperforming its own 40-week average RS.

Known weakness in rule 3 (already identified, not yet fixed). The touch test cannot tell a genuine *pullback* (price above the line, dips to it, bounces) from a *recovery through* the line from below (price under the line for weeks, one big candle crosses up). Both satisfy it, and because the 44w SMA lags, rule 1 still reads “rising” after weeks of price below it. This is the ZFCVINDIA / RCF case you found.

3 · Fill — the week AFTER the signal

Step	Rule
Extension cap	**Extension cap — skip the trade entirely if the fill price is more than 20% above the signal-week 44w SMA.** Pure selection; the stop is untouched.
Window	The signal week's **low** and **high** define a price band. We look at each daily bar of the following week.
Trigger	Fill at the **first daily OPEN that falls inside [signal-week low, signal-week high]**. The fill price is that open.
No fill	If no daily open lands inside the band all week, the signal **expires unfilled** — no trade.
Who gets the cash	When several signals compete for limited cash, candidates are attempted in **descending CRS distance** (CRS = RS ÷ SMA40(RS) – 1, measured at the signal week). Strongest first. If cash runs out, the rest are skipped.

Note: this is *not* a buy-stop. We do not wait for the price to trade through the signal week's high. That variant was tested (pre-reg 0088) and lost badly, because entering at the high while the stop sits at the low makes the whole candle the risk.

4 · Stop and size

Item	Rule
Stop level	**max(signal-week LOW, entry × 0.90)** — R capped at 10%. When the candle low is further, the stop is **lifted off the candle** to the –10% line (a deliberate deviation from the taught rule, per the owner).
R	1R = entry – stop, capped at 10%. Median across the LIVE book is **~9.1%**.
Shares	equity × 2% ÷ (entry – stop). Wider stop ⇒ smaller position.
Consequence	Notional per name = 2% ÷ R%. At R ≈ 9% one name is ~20% (the cap binds), so ~4-5 names are held. Grade filter: **A-only** — only the top-5-by-CRS signals of each setup week are traded.

5 · Exits — the P2 rule set

This is the single most important thing to understand while reviewing charts. Every exit below is **decided at the weekly CLOSE (Friday) and filled at the NEXT MONDAY'S OPEN.** There is **no live stop order in the market.** Price can trade far below the stop level mid-week and we do not exit — we exit Monday, at whatever Monday opens at.

#	Exit	Trigger (checked Friday) — fills Monday open
1	Stop	Weekly close ≤ stop. *Not* the intraweek low — the CLOSE.
2	Half at 2R	Weekly close ≥ entry + 2R ⇒ sell **50%** of the position (once). The rest runs.
3	20-DAY SMA trail	**Only after the 2R half has booked.** trail = max(trail, SMA20-day × 0.96); exit the rest when the weekly close < trail.
4	Blow-off bar	Armed once MFE ≥ **2.5R**. Exit if the week makes a **new high** but **closes in its lower third** (long upper wick = exhaustion).
5	20-WEEK SMA trail	Armed once MFE ≥ **2R**. Exit if the weekly close < SMA20-week × 0.96.
6	Time backstop	**52 weeks** held. (There is no 13-week cap — it was removed.)

Why losses run past –1R

Because of the Friday-decide / Monday-fill rule above, a –1R stop is a **trigger, not a fill**. Roughly **87%** of the excess loss is price drifting below the stop level *during* the week before Friday; only ~13% is the Monday gap. With a median R of 14%, a –2R exit is a –**28% move**. KAYNES booked –2.03R this way; a real standing stop order would have filled near –1R. **The backtest is pessimistic here, not optimistic.** A real hard stop was tested (§7) and it made the drawdown worse, not better.

6 · The trade list (tv_review_80.csv)

Random samples — deliberately not the extremes, so you see the typical case. Buckets are **disjoint** — no chart appears twice.

Read WINNER_MATCHED alongside the losers — it is there to stop a specific mistake. A loser list is defined *by outcome*, so every entry in it looks bad, and it is very easy to conclude the entry style caused the loss. WINNER_HIGH_EXT holds **winners with the same profile** — entered ≥20% above the 44w SMA, off a big candle. If a loser's chart looks damning, find the winner that looks identical before concluding anything.

Bucket	n	Definition	mean %move	meanR	mean MFE
LOSS_RANDOM	30	R < 0 (any exit reason — on this book nearly every loss is a stop-out)	-10.5%	-1.30	+8.2%
GOOD_RANDOM	20	R ≥ 2	+33.6%	+3.01	+47.9%
WINNER_MATCHED	10	R ≥ 2 **and** entry ≥14.4% above the SMA (the losers' median) — **the matched control**	+50.5%	+3.59	+63.1%

Column	Meaning
signal_week	The **decision bar** — the weekly candle that fired the signal. Put your cursor here first; this is the candle the rules judged.
sig_ctl_pct	(close – low) ÷ close of the signal week, %. **This IS R.**
sig_body_frac	body (close – open) ÷ range (high – low) of the signal week. 1.0 = no wicks.
sig_range_pct	(high – low) ÷ low of the signal week, %.
entry_date / entry	The daily open we actually filled at.
stop	Signal-week low. **Never sent to the market** — checked Fridays only.
risk_pct	(entry – stop) ÷ entry, %.
ext_vs_sma	How far the entry price sat above the 44w SMA, %. **Negative = we filled BELOW the line** (the KENNAMET / NAVA case).
crs_rank	CRS distance at the signal week — the queue position for cash.
exit_date / exit_px	Monday open we exited at.
pct_move	(exit ÷ entry – 1), %. **What the eye sees on the chart.**
R	pct_move expressed in R. Beware: R is a ratio — a big R on a tight stop is a small move.
mfe_pct / mae_pct	Best / worst excursion vs entry while the trade was open, %.
reason	Which §5 rule closed it.

7 · Already tested and KILLED — please do not re-propose these

Each of these was implemented, frozen, run against the 2022-26 slice, and lost. The baseline to beat is **1.29**; buying trades **at random** from the signal pool scores **0.74**.

Note for this book. Two rows below (the 5% R cap, the 20% per-name cap) look like what this config does — they are not. Those arms capped R at **5%** *and* replaced the exit with 2R/3R targets, which is what killed them. This book caps R at the milder **10%** and **leaves the exit alone**, and it came in **return-neutral** (Sharpe 1.03→1.11 full, 1.29→1.21 on 2022-26 — both noise). The lesson of the whole table: **the fat tail lives in the exit.** Entry and sizing discipline is roughly free; truncating the right tail is fatal.

Idea	Result	Why it failed
Buy-stop entry (wait for the signal high)	0.22 (pre-reg 0088)	Entry at the high + stop at the low = the whole candle is risk (12.8% vs 7%), which halves the size.
A real hard stop order (live, intraweek)	worse DD	Caps every loss at –1R and the drawdown still got worse — the tight exit cut trades that would have recovered.
Cap R at 5% (raise the stop)	0.64 · DD –54.5%	Forces notional to 2%/5% = 40% of the book per name. Concentration, not protection.
Cap capital at 20% per name	0.64	The book's natural size is already ~14%. A 20% cap can only bind *upward* — it concentrated the book.
2R / 3R fixed targets, no runners	0.50–0.82	Cuts the fat tail. The right tail IS the entire return; 90% of each position capped at 3R kills it.
Only small candles (≤5%, solid body)	0.37	Candle size doesn't predict the average return (ρ=–0.02) but it strongly predicts the **excursion** (ρ=+0.11; MFE 15% vs 27%). Small candles win more often (60%) and go nowhere. **R and reward are the same variable.**

Idea	Result	Why it failed
Cap the entry extension / don't buy far above the SMA	1.29 → 0.47	**Extension IS relative strength** — high-RS names are extended *because* of the strength that makes them win. On the traded book the 15-25% and >25% extension buckets contribute **69% of all R**; Spearman(ext, R) = –0.09. Filtering them pushes CRS below its own pool's random mean. Killed in 5 forms: near_sma, ext_cap, pool-filter, stratified-CRS, bucket-prior.
RSI-oversold filter	killed 3×	The indicator *subtracts* from the dip setup.
Grade-A only (top-5 CRS/week)	1.17 vs 1.29	A defensive variant, not a return edge.
The whole indicator zoo at this horizon	IC ≈ 0	RSI / MACD / Stochastic / Williams / CCI / Bollinger / MFI / OBV all have no rank information here.

8 · Data caveats — real, and they will show up on your charts

Issue	Status
Unadjusted splits	**Known bug.** The price file has ~19 unadjusted splits, so a 1:4 split reads as a –75% loss (the CGCL case you caught: entry 763.65 vs TradingView ~190). **Trades spanning a detected split are EXCLUDED from this CSV.** If a chart still looks like an impossible cliff, it is likely one we failed to detect — flag it.
Survivor bias	The pinned price file is survivor-only (103 of 813 point-in-time members are missing). A backfill recovering all 103 exists but is not yet the pin — re-anchoring it is a governance decision. Measured effect: it makes results look **better** than reality, and it scales with holding period.
Prices are NSE, unadjusted for dividends	Expect small cosmetic gaps vs TradingView.

9 · What would actually be useful to find

Four independent tests have now said the losers do **not** fail for a findable entry reason (prior forensic; ML AUC 0.536; a blind vision review found no grade gap; a learned ranker scored AUC 0.472, worse than random). So the highest-value thing you can find is **not** “this trade looks bad” — it is one of these:

Look for	Why it matters
A trade that **should not exist** under §2	A rule is mis-implemented — that is a bug, and bugs are free wins. (Your ZFCVINDIA / RCF catch was exactly this.)
A price that **disagrees with TradingView**	A data bug, like CGCL. Also a free win, and it affects the live cron, not just the backtest.
A **fill** you could not have got in real life	Execution realism. Check entry_date's open against the chart.
A winner we **exited too early**	The right tail is the entire edge, so leaks here are worth more than any loss we could have avoided.
A **setup shape** we have no rule for	Genuinely new information. Note what the chart looks like, not which indicator you'd add — the indicators are all dead (§7).

Generated by scripts/export_tv_review2.py from scripts/run_bhanushali_weekly_rank.py. Regenerate rather than hand-edit.